Oil Country Tubular Ltd

Concall tracker report, filed under Q2 2027 (results for Jul-Sep 2026).

1. Snapshot

A Telangana maker of OCTG (oil country tubular goods: the drill pipes, casing and tubing that go down oil and gas wells), plus threading and repair services on those pipes. Its buyers are mainly ONGC and Oil India, through tenders. It says it is India's only maker of kellys and heavy-weight drill pipes. It's now trying to build an engineering division for defence and aerospace parts.

Number	Value	Plain read
Market value	about ₹364 cr	What the market prices the whole company at.
Revenue FY26	₹70 cr	Down 43% from ₹123 cr the year before; sales depend on when tender orders land.
Net loss FY26	about ₹61 cr	Losses are mostly depreciation (about ₹70 cr a year) on a big plant that runs well below capacity.
Revenue Q2 FY27	₹25 cr	Up from ₹10 cr a year ago and ₹17 cr in June, but still a small number for this plant.
Net loss Q2 FY27	about ₹12 cr	Loss narrowed from ₹15 cr in June. It has made a loss in every quarter but one over three years.
Borrowings (Sep 2026)	₹19 cr	Debt is now low, cut from ₹90 cr in FY24 after the promoter turned its loans into preference shares.
Promoter holding	47.2%	Fell from 56.7% in late 2025.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive. Sources used: FY2025-26 annual report (directors' report and management discussion, June 2026, via IndiaInfoline); board meeting outcomes filed on NSE (Feb 2026, May 2026); press coverage of Q1 FY27 and Q2 FY27 results (Aug and Nov 2026); Screener.in financial tables.

Latest update highlights (Q2 FY27 results, 5 Nov 2026, and the June 2026 annual report)

- Q2 revenue about ₹25 cr, up about one and a half times on a weak quarter last year; loss about ₹12 cr, a bit smaller than June's ₹15 cr.
- Operating profit back in the black for the quarter (about ₹4 cr before depreciation), but depreciation of ₹17 cr a quarter keeps the bottom line in the red.
- Annual report: ONGC, Oil India and global tenders for FY27 were expected to open in June-July 2026 and be awarded in August-September 2026. No award has been reported yet.
- The West Asia conflict delayed order inflows and raised input, fuel and freight costs.
- CFO churn: the CFO resigned in August 2025, his replacement quit in April 2026, and the original CFO came back in May 2026. A new chairman and MD, K. Suryanarayana, took over in September 2025.

Business mix and capacity

FY26 revenue: pipe products about ₹51 cr, pipe services about ₹19 cr, engineering services about ₹0.2 cr. Domestic vs export split not broken out; the company says it bids in global tenders. Capacity utilisation not disclosed, but sales of ₹70 cr against a plant that once did ₹260 cr a year (FY15) point to a lot of idle capacity.

3. Earning trigger thesis

There isn't one clear driver. The old business rises and falls with ONGC and Oil India tender awards: FY25 was good after it won about ₹155 cr of tenders, FY26 collapsed when fresh ones didn't come. Management's new story is diversifying into defence, aerospace and precision machining, including a hoped-for DRDO partner role for rocket motor casings. That division has some defence PSU orders but earned almost nothing last year.

Trigger	What management said	Evidence so far	Time horizon	Strength
FY27 ONGC / Oil India tenders	Tenders to be awarded Aug-Sep 2026	No award reported; Q2 sales still small	Next 1-2 quarters	Weak: lumpy and late
Defence and aerospace engineering	New division, 5-axis machine bought, AS-9100D audit done, DRDO rocket casing role being pursued	About ₹0.2 cr of revenue in FY26	Years	Unproven
Cleaner balance sheet	Promoter loans converted to preference shares to qualify for tenders	Debt down to ₹19 cr	Done	Moderate: helps it bid, doesn't make profit

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	Promoter's ₹90 cr loan converted into preference shares to improve net worth (annual report, June 2026).
New business	Yes	Diversifying into defence, aerospace, power and critical engineering machining (annual report, June 2026).
Margin up	No	Not claimed.
New management	Yes	K. Suryanarayana appointed Chairman and MD from 21 Sep 2025; CFO changed twice.
New capacity	No	Only one new machining centre.
Big orders	No	Bidding for FY27 tenders; no award disclosed.
Turnaround	No	No recovery plan stated.
Promoter buying	No	Promoter stake has fallen.

Single concrete driver: winning the delayed FY27 ONGC and Oil India pipe tenders, with defence machining as a long-shot second leg.

3d. Management changes

K. Suryanarayana became Chairman and MD for three years from September 2025. Three non-executive directors joined in mid-2025. The CFO post changed hands twice in nine months before the earlier CFO returned in May 2026. No public statement of what the new MD plans to change first beyond the defence diversification.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY25	Restart the plant on ONGC / Oil India orders	FY25 sales ₹123 cr on about ₹155 cr of tenders	Delivered
	Keep winning tenders into FY26	FY26 sales fell 43%, losses doubled	Missed

FY25 report			
FY26 report	FY27 tenders awarded by Aug-Sep 2026	No award reported by November	Too early, slipping
FY26 report	Build defence and aerospace engineering	Machine bought, audit done, tiny revenue	Too early

Narrative drift: the story has shifted from "oil pipes are back" to "we're becoming a defence engineering company" within a year, without numbers to show for either. Frequent CFO changes add to the doubt.

5. Bottom line: two verdicts

Durable earning trigger? NO

The pipe business lives tender to tender and the next batch is late. Defence machining is a plan, not a business yet. Heavy depreciation means it needs a big jump in sales just to break even.

Management consistent? NO

Sales swung from good to bad in one year, the stated story changed, and the finance chief changed twice in under a year. No earnings calls, so there's little public record to hold them to.

6. Checkpoints for next quarter

- Wins a fresh ONGC or Oil India pipe order
- Quarterly loss keeps narrowing
- Defence or aerospace orders show up in sales

Sources: indiainfoline.com (FY26 directors' report and management discussion); nsearchives.nseindia.com board outcomes (Feb and May 2026); univest.in and askfuzz.ai results coverage; screener.in. Not investment advice.